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CASE NAME: Bretz, v. Cohen

CASE NO.: 25SMCV05357

MOTION: Demurrer to the Complaint

HEARING DATE: 7/28/2026

LEGAL STANDARD

A demurrer for

sufficiency tests whether the complaint states a cause of action. (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.) When considering demurrers, courts read the allegations liberally and in context. In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice. (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. Therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed. (CCP §§ 430.30, 430.70.) At the pleading stage, a plaintiff need only allege ultimate facts sufficient to apprise the defendant of the factual basis for the claim against him. (Semole v. Sansoucie (1972) 28 Cal. App. 3d 714, 721.) A “demurrer does not, however, admit contentions, deductions or conclusions of fact or law alleged in the pleading, or the construction of instruments pleaded, or facts impossible in law.” (S. Shore Land Co. v. Petersen (1964) 226 Cal.App.2d 725, 732, internal citations omitted.)

“Liberality in

permitting amendment is the rule, if a fair opportunity to correct any defect has not been given.” (Angie M. v. Superior Court (1995) 37 Cal.App.4th 1217, 1227.) It is an abuse of discretion for the court to deny leave to amend where there is any reasonable possibility that plaintiff can state a good cause of action. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 349.) The burden is on plaintiff to show, in what manner, plaintiff can amend the complaint, and how that amendment will change the legal effect of the pleading. (Id.)

ANALYSIS

Defendant Malia M. Cohen, California State Controller, demurs to the complaint filed by Plaintiff Robert H. Bretz. The Complaint states a claim under the Unclaimed Property Law, codified as CCP section 1500 et seq. “The [Unclaimed Property Law] governs the state’s handling and disposition, generally through the controller, of property such as bank accounts and securities, held by entities such as banks, brokerage firms, and insurance companies, the owners of which have not acknowledged or claimed their interest in for several years, generally three. Such property by statute escheats, nonpermanently, and the holder must transfer it to the controller. [Citations.] The [Unclaimed Property Law] is not a permanent or true escheat statute. Instead, it gives the state custody and use of unclaimed property until such time as the owner claims it. Its dual objectives are to protect unknown owners by locating them and restoring their property to them and to give the state rather than the holders of unclaimed property the benefit of the use of it, most of which experience shows will never be claimed. [Citations.] Section 1540 sets forth the procedures for the filing and processing of claims for escheated property.” (Casiopea Bovet, LLC v. Chiang (2017) 12 Cal.App.5th 656, 661, internal citations and quotations omitted.)

CCP section 1540

states in relevant part:

(a) Any person, excluding another state, who claims to have been the owner, as defined in subdivision (d), of property paid or delivered to the Controller under this chapter may file a claim to the property or to the net proceeds from its sale. The claim shall be on a form prescribed by the Controller and shall be verified by the claimant.

(b) The Controller shall consider each claim within 180 days after it is filed to determine if the claimant is the owner, as

defined in subdivision (d), and may hold a hearing and receive evidence. The Controller shall give written notice to the claimant if the Controller denies the claim in whole or in part. The notice may be given by mailing it to the address, if any, stated in the claim as the address to which notices are to be sent. If no address is stated in the claim, the notice may be mailed to the address, if any, of the claimant as stated in the claim. A notice of denial need not be given if the claim fails to state either an address to which notices are to be sent or an address of the claimant.

[...]

(d) Notwithstanding subdivision (g) of Section 1501, for purposes of filing a claim pursuant to this section, "owner" means the person who had legal right to the property before its escheat, the person's heirs or estate representative, the person's guardian or conservator, or a public administrator acting pursuant to the authority granted in Sections 7660 and 7661 of the Probate Code. An "owner" also means a nonprofit civic, charitable, or educational organization that granted a charter, sponsorship, or approval for the existence of the organization that had the legal right to the property before its escheat but that has dissolved or is no longer in existence, if the charter, sponsorship, approval, organization bylaws, or other governing documents provide that unclaimed or surplus property shall be conveyed to the granting organization upon dissolution or cessation to exist as a distinct legal entity. Only an owner, as defined in this subdivision, may file a claim with the Controller pursuant to this article."

Any

person aggrieved by the Controller's decision may commence an action, naming the Controller as a defendant, to establish his claim within 90 days after the decision. (CCP § 1541.)

The

Complaint alleges that the property at issue is shares of stock in ChoicePoint, Inc., which was escheated by the issuer of such securities to the State of California. (Compl., ¶ 1.) At the time of the escheat, the State valued the Property at approximately \$23,600. (Id., ¶ 2.) Plaintiff made a claim to recover the Property from the Controller. (Id., ¶ 4.) The Controller denied Plaintiff's claim, alleging that the property was held in the name of Robert H. Bretz, a Professional Corporation, organized under California corporate number 858127. (Id.) The Corporation was suspended in 2007 due to failure to pay taxes,

and thus was not entitled to make any claim to recover the Property unless it was reinstated. (Id., ¶¶ 4, 14.)

Critically,

Plaintiff does not recall if the Property was registered in his individual name or in the name of his corporation, and the Controller declined to provide evidence for their assertion that the Property was owned by the Corporation. (Id., ¶ 6.) The Complaint alleges that Plaintiff abandoned the Corporation many years ago because he moved to Florida and had no need to use the Corporation. (Id., ¶ 7.) When the Corporation ceased doing business, it was current in paying its annual corporation dues and all state and federal taxes, and the Corporation did not thereafter conduct any business in California or elsewhere. (Id., ¶ 8.) The Corporation had no debt or liabilities. (Id., ¶ 10.) Plaintiff also alleges that the Corporation was his alter ego, as it did business at the same address and under the same personal name as the Plaintiff, and it had no separate purpose or existence different from that of its sole shareholder, officer/director and owner, and there was a total unity of interest between Plaintiff and the Corporation. (Id., ¶¶ 9, 11.) Plaintiff was the beneficial owner of the Corporation and all of its property, including the subject Property. (Id., ¶ 12.) Plaintiff also offers the legal conclusion that Plaintiff is the sole successor in interest to the Corporation and its property. (Id., ¶ 13.)

The Controller argues that

Plaintiff, individually, is not an owner as defined by section 1540(d). Plaintiff, however, contends that he is an owner as defined by section 1501(i). This section states: “As used in this chapter, unless the context otherwise requires...

(i) “Owner” means a

depositor in case of a deposit, a beneficiary in case of a trust, or creditor, claimant, or payee in case of other choses in action, or any person having a legal or equitable interest in property subject to this chapter, or their legal representative.” (Emphasis added.) However, by the statute’s express terms, only an owner as defined in section 1540(d) may file a claim with the Controller pursuant to the UPL. Section 1540(d) gives a contrary definition of owner, which does not include equitable ownership; the definition is limited to the person who had “legal” right to the property before the escheat. The omission of the “equitable interest” language in section 1540(d) suggests an intentional exclusion of equitable interests. Thus, the broader definition of 1501(i) does not control for purposes of this claim procedure.

Here,

the Complaint does not allege that Plaintiff was a legal owner of the Property at the time of escheat, as required by section 1540(d) under the alleged circumstances. Plaintiff expressly alleges that he is unsure if the Property was registered in his individual name or in the name of his corporation, and that the Controller offered no evidence of the determination. (Compl., ¶ 6.) Plaintiff does not offer any authority that the Controller is required to provide such evidence. At best, Plaintiff only contends that he is the “successor in interest” in the corporation’s property, a term which does not appear in the statutory scheme. Plaintiff apparently claims an equitable/beneficial interest in the Property, by virtue of his interest as the shareholder or owner of the suspended Corporation. (Compl., p. 1 [“This Court is asked to correct such incorrect determination; and order that the escheated property be returned to the Plaintiff as the equitable/successor in interest owner of such Property.”] see also ¶¶ 17, 19, 26, 31.) But shareholders do not hold legal title to a corporation’s property, only an equitable interest as beneficial owners. (Prang v. Los Angeles County Assessment Appeals Bd. (2024) 15 Cal.5th 1152, 1177-78; see also Grosset v. Wenaas (2008) 42 Cal.4th 1100, 1110 [generally, a shareholder does not have direct standing to recover the corporation’s property, only derivative standing under Corp. Code § 800].) Merely holding an equitable interest in the Property does not satisfy the express definition of section 1540(d). The Complaint also does not allege that the corporation was dissolved, or that the corporation otherwise granted the Property to Plaintiff prior to its suspension. (See Compl., ¶ 13A [alleging that, according to the governing documents, the shareholder succeeds to ownership/possession following dissolution or its equivalent].) Thus, the facts as alleged do not establish that Plaintiff is an owner of the Property entitled to return of the Property under the UPL.

The Complaint also states a duplicative cause of action under Cal. Const. Art. I, Sections 7(a) and 19(a). The constitutional claim alleges that the Controller knows that Plaintiff is an owner/successor in interest, but refuses to surrender and return the property unless Plaintiff revives the corporation. (Compl., ¶ 31.) The Controller’s refusal to return the property allegedly constitutes an unlawful taking of the Property in contravention of the State Constitution. (Id., ¶¶ 32-33.) However, as discussed, Plaintiff does not allegedly have a cognizable ownership interest under CCP section 1540.

Accordingly,

the demurrer is SUSTAINED. Leave to amend will only be granted if Plaintiff proffers a reasonable probability of successful amendment, i.e., Plaintiff must allege that he was the legal owner of the Property as defined by section 1540(d).